

CURVES HOLDINGS Co., Ltd. — 7085.XTKS

Upward profit-forecast revision (FY08/26) · deep-dive · 2026-04-15

Ticker	7085.XTKS
Issuer FIGI	BBG002YJ0ZV4
Market cap	USD 504m
Signal date	2026-04-13
Signal type	profit_upgrade
Direction	LONG
Score	29 / 42.5
Deep-dive date	2026-04-15

Thesis (TL;DR)

Curves Holdings (women's fitness-club franchise in Japan) upgraded FY08/26 guidance to revenue JPY 42.3bn (+12.6% YoY) and operating profit JPY 7.7bn (+21.4% YoY). H1 revenue printed JPY 19.97bn (+9.8% YoY) with H1 earnings JPY 2.23bn (EPS JPY 24.22). This is a clean profit-upgrade signal on a mid-cap Japanese franchise operator with operating-leverage tailwinds. Direction LONG, conviction medium. Recommendation: standard upgrade-momentum long with 30-60 day hold; exit on full-year print.

Company context

Curves Holdings: Japan-franchise operator of Curves, a women-only 30-minute circuit fitness chain.

Market cap: USD 504m.

Fiscal year: ends August (FY08/26 = year ending 2026-08-31).

Growth drivers: post-pandemic membership recovery, mild pricing power, low-single-digit store-count growth.

What the release actually contains

FY08/26 guidance raised to: revenue JPY 42.3bn (+12.6% YoY), operating profit JPY 7.7bn (+21.4% YoY).

H1 FY08/26 actuals: revenue JPY 19.967bn (+9.8% YoY), net income JPY 2.229bn (EPS JPY 24.22).

Operating-profit growth outpaces revenue growth — clean margin-expansion signal.

No material one-off items cited; the upgrade is operational.

No change to dividend / capital-return policy disclosed.

Thesis statement

LONG, medium conviction. Japanese small-mid-cap profit upgrades of the +20% OP-growth variety tend to produce a 30-60 day drift of +5–12% absent offsetting macro drag. Curves' operating model is high-fixed-cost / low-variable-cost — incremental membership converts at high incremental margin, so the upgrade is durable rather than timing-related. Risk: typical sell-side was already close to the new guide, so incremental surprise may be modest.

Catalyst map

Event	Date / Window	Entry trigger	Exit / resolution
H2 FY08/26 trading update	~2026-06-15	SS sales > +5%	Reiterate long
FY08/26 full-year release	~2026-10	In-line or better than upgrade	Exit long
New-store-opening cadence	rolling	Net new stores > plan	Add
Dividend increase	AGM ~Nov 2026	DPS raised	Positive tail
Peer comps (RIZAP, Central Sports)	rolling	Peer guidance lift	Sector validation

Steelman of the opposite view

- Japanese fitness-chain margins are cyclically high right now; H2 faces tougher comps and normalization risk.
- Franchisee receivables growth can run ahead of cash — check cash conversion at H1 for deteriorating working capital.

- Small-mid cap Japanese names have seen stock prices under-react to upgrades when the Topix is weak — market-beta risk.
- Curves is a franchise-model, not company-owned — royalty revenue is less defensive than gym-operator revenue if franchisees fail.

Kill conditions

Kill condition	Numeric / factual threshold	Where observable
K1: H1 cash conversion weak	OCF / OP < 70% at H1	1H26 CF statement
K2: SS sales stall	+1% or worse in H2	H2 trading update
K3: franchisee receivables spike	Doubtful accounts + > 20% YoY	Balance sheet
K4: macro JP consumer rollover	JP consumer confidence < 40	ESP / BoJ data
K5: peer guidance cut	RIZAP / Central Sports downgrade	Peer TDnet

Peer comparables

- RIZAP Group (2928) — JP health/fitness; recent guidance cadence.
- Central Sports (4801) — integrated gym operator; margin-cycle reference.
- Snap Fitness / Anytime franchisee operators — international franchise-margin proxy.

Position sizing guidance

0.5–1.0% NAV long, 60-day hold, exit on FY08/26 print. JPY-hedged. Upsize to 1.5% only if H1 cash conversion > 80% confirmed.

Sources & traceability

- Primary: TDnet PDF <https://www.release.tdnet.info/inbs/140120260413502360.pdf>.
- Curves Holdings IR (guidance revision release).
- Non_us stub: 7085_XTKS_curves-holdings-co-ltd-profit-upgrade.md.